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Q & A • **NEELKANTH MISHRA**

into labour-intensive crops like vegetables can also be quite meaningful. So, I think the interest rate environment is unlikely to change much. There may not be enough scope... I don't think there will be enough scope for rate cuts to happen.

I think the challenges emerge on the quantitative side so there is cost of money in the interest rates... And for nearly one-and-a-half years, the central bank's injection of money into the economy was well below normal. And a very large part of the money creation was then being done by the commercial banks. And as a result, credit growth was way higher than deposit growth.

[From the] beginning of FY25, RBI started becoming uncomfortable that the loan deposit ratios in many of these banks had become very

over a period of time.

Once the banks realise that there is less competition for deposits and that they are not going to get slapped on the wrist for growing their loans, the credit impulse in the economy will be positive from being very strongly negative.



You talked about the stimulus amount going up because of welfare schemes. Does it have implications for the manner in which interest rates are set and the mandate that is given to the MPC? I also refer to arguments that talk about carving out food prices from the overall inflation basket.

At this stage [it] is a somewhat theoretical argument. There is a law that states that the MPC needs to target headline inflation and unless that law is amended, the discussions

the 2011-13 period because these schemes are being funded through expenditure switching.

The question to ask from a macroeconomic perspective is where is this ₹2 lakh crore coming from? Is it coming from higher taxes, is it coming from higher deficits or is it coming from cutting expenditure somewhere and spending it on these elements? This trend varies from state to state but at an aggregate level it does seem to us that the expenditure to GDP—if you compare FY19 to FY25 Budgets—is not really going up in most of these states. Which means that they're cutting some other expenditure to finance the schemes. And I think the underlying reason is very strong, which is that state governments have a 3% of GSDP cap, which the central government

tive easing to continue?

Too much is not warranted, meaning that the money creating levers in the economy should be unrestrained, but active injection of liquidity at this stage, other than to counter whatever is happening on the forex side, may not be necessary. Financial theory says that you cannot manage both the cost of money and the quantity of money to the last mile or the last point, together; meaning that both are interconnected. Money supply is endogenous, meaning the economy kind of creates its own money. For example, as people demand more credit, and banks give that credit, money is created. [In the] overnight money market, when credit growth is strong, things go into deficit, the central bank makes available the money. So, in a way there is a demand angle here as well. You cannot try to control both at the same time. But at the same time, you need to be conscious that the central bank injection of money, if it is not happening adequately, can be changed.

Till 2022, CRR was at 4%... and the economy was creating sufficient money. In 2022, when liquidity went into surplus, the central bank raised it to 4.5%, [and] perhaps bringing it down was necessary. And now it has happened... once

“ON INTEREST RATES, I DON'T THINK RBI'S MONETARY POLICY COMMITTEE HAS MUCH ROOM TO MANOEUVRE”

high. And they instructed the banks to bring it down... That process, I think, with the cut in the CRR, is starting to get reversed, because then there is a structural change in the money available for banks to lend

around this are completely academic... The bigger question is that the impulse on the inflation side because of these income transfer schemes at an aggregate level may not be as intense or as large as what we saw in

enforces... And hence the aggregate inflationary impact, which is an 8-10% kind of inflation that we saw 10-12 years ago, is unlikely to happen.



Do you expect quantita-